Ryanair DCF: valuation model and methodology

Viktorie Kodickova | October 2026 | Valuation date 6 March 2026, share price €26.19, EUR m unless stated

Summary

Ten-year unlevered DCF of Ryanair (FY26 to FY35) with a terminal value tied to growth. The base case gives an equity value of €33,506m, or €31.41 per share, which is 19.9% above the current price. The conservative and optimistic scenarios give €23.67 and €40.04. Terminal value is 64.7% of enterprise value.

1. Method

Element	How it works	Reason	Cells
Cost of equity	Risk-free 2.86% + adjusted beta 1.0067 x ERP 6.0% = 8.90%. Adjusted beta = 1/3 x 1 + 2/3 x raw beta (1.01).	Blume adjustment, the same formula as Bloomberg Adjusted Beta.	WACC!F10, F14
WACC	94.8% equity (market cap 27,500) at 8.90% and 5.2% debt (1,500) at 3.0% after 10% tax = 8.58%.	Market-value weights.	WACC!F22
Revenue growth	FY26 at 9.09%. From FY27 growth falls by (start growth - TGR) / 9 a year, reaching 1.50% in FY35.	Growth converges to the terminal rate, so there is no jump into the terminal year.	DCF!P41:X43, D18
Free cash flow	NOPAT (EBIT margin 17.2%, tax 10%) + D&A 8.05% - CapEx 18.28% - change in NWC (-2.87%, a cash source), all as % of sales.	Normalised averages of FY17 to FY19 and FY24 to FY25.	DCF rows 45 to 66
Terminal value	Terminal FCF = NOPAT FY35 x (1+g) x (1 - g/WACC). TV = terminal FCF / (WACC - g).	New investment earns its cost of capital (RONIC = WACC), so reinvestment equals g/WACC of NOPAT (17.5%).	DCF!Y54:Y66, X73

Base case growth path FY26 to FY35: 9.09%, 8.25%, 7.40%, 6.56%, 5.72%, 4.87%, 4.03%, 3.19%, 2.34%, 1.50%.

2. Base case valuation

EUR m	Base case
Revenue FY35	23,305
NOPAT FY35	3,612
Unlevered FCF FY35	1,897
Terminal-year FCF	3,025
Terminal value	42,711
PV of terminal value	21,090
Sum of PV of FCF FY26 to FY35	11,516
Enterprise value	32,606
Cash	2,400
Debt	1,500
Equity value	33,506
Diluted shares (m)	1,066.8
Implied price per share (EUR)	**31.41**

3. Scenarios and sensitivity

Scenario	Growth FY26 to FY35	EBIT margin	WACC / TGR	Price (EUR)
Conservative	7.0% to 1.0%	16.0%	9.2% / 1.0%	23.67
Base / Street	**9.1% to 1.5%**	**17.2%**	**8.58% / 1.5%**	**31.41**
Optimistic	11.0% to 2.0%	18.5%	8.2% / 2.0%	40.04

The sensitivity table covers WACC 7.5% to 10.0% and TGR 0.5% to 2.5%, with growth fading to the TGR of each column. The value ranges from €25.29 to €38.38 and the base cell equals the DCF price.

4. Consistency checks

- FY35 growth equals the terminal growth rate in every scenario, and terminal reinvestment of 17.5% of NOPAT equals g/WACC.
- All cells are live formulas. The scenario table and the sensitivity table use explicit formulas on the Calc sheet, with no Excel data table. The scenario switch (DCF!D11:D14) reproduces the scenario table prices.
- The workbook recalculates with no errors in LibreOffice.

5. Known weak points

- Tax at 10% against Pillar Two. A 15% rate would give about €29 per share.
- FY26 FCF is not prorated for the stub period.
- The "Total Debt 10,470" label in the Ratios balance sheet table is actually total liabilities.
- Leases are not added to debt separately.
- CapEx, D&A and working capital stay fixed percentages of sales through the growth fade, so FY35 reinvestment is about 47% of NOPAT. Only the terminal year is normalised to g/WACC.